

Einhorn argued that, at a 10 percent cost of capital, the cash represented an opportunity cost of close to \$13.7 billion per year, or \$14 in earnings per share. His solution was for Apple to issue to existing shareholders “iPrefs”—high-yielding preference shares—which, said Einhorn, would allow Apple to “unlock significant shareholder value” by reducing the cash on its “bloated balance sheet.”¹⁸ He wasn’t the only activist to complain about Apple’s huge cash stockpile. Shortly after Einhorn unveiled his idea at the Ira W. Sohn Conference, Icahn would also propose in an open letter to Tim Cook, Apple’s CEO, that Apple return cash through a \$150 billion buyback:¹⁹

When we met, you agreed with us that the shares are undervalued. In our view, irrational undervaluation as dramatic as this is often a short-term anomaly. The timing for a larger buyback is still ripe, but the opportunity will not last forever. While the board’s actions to date (\$60 billion share repurchase over three years) may seem like a large buyback, it is simply not large enough given that Apple currently holds \$147 billion of cash on its balance sheet, and that it will generate \$51 billion of EBIT next year (Wall Street consensus forecast).

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With such an enormous valuation gap and such a massive amount of cash on the balance sheet, we find it difficult to imagine why the board would not move more aggressively to buy back stock by immediately announcing a \$150 billion tender offer (financed with debt or a mix of debt and cash on the balance sheet).

Icahn believed that if Apple decided to borrow the full \$150 billion at a 3 percent interest rate to undertake a tender at \$525 per share, the result would be an immediate 33 percent boost to earnings per share and, assuming no multiple expansion, a commensurate 33 percent increase in the value of the shares. Icahn saw the shares appreciating over the following three years from \$525 to \$1,250, assuming sustained 7.5 percent annual growth in Apple’s EBIT and an EBIT multiple of 11 from Apple’s 2013 EBIT multiple of 7. In his presentation, Einhorn had also made an argument for Apple undertaking a buyback, although Einhorn’s proposal was half the size of Icahn’s and didn’t require the company to take on debt. Why were Einhorn and Icahn fixated on Apple getting recognition for its cash holding?

An example demonstrates how overcapitalization can impact intrinsic value and simultaneously displays the utility of the enterprise multiple. Let’s say we have a company, Orange, Inc., with a market capitalization of \$500 million, earning \$37 million per year, and generating \$50 million in EBIT (assume also that capital expenditures match depreciation and amortization such that EBIT equates to operating cash flow and earnings represent